

Income and substitution effects



Picture a student who spends his money on nothing but chips and cola – then, because of a bumper potato harvest, the price of chips falls. This affects the student's spending in two ways. Firstly, the price of cola in terms of chips has risen: for every can of cola the student buys he has to give up more chips than before. He buys less cola but more bags of chips. This is what economists call the substitution effect. Secondly, because chips are cheaper, the student's purchasing power has risen – in a sense his income is now larger. He may well decide to buy both more chips and more cola. This is the income effect.

Economists break down changes in demand as a result of price changes into these effects. The overall impact on the student's consumption of chips is clear: both the income and the substitution effects point towards him buying more. But the impact on his consumption of cola is ambiguous: the

substitution effect means he buys less but the income effect makes him buy more.